Decision Memo — Joby Aviation (NYSE: JOBY)

To: Buy-side investment committee (no current position) · **From:** Tobey Uhm, equity research analyst · **Valuation date:** September 1, 2026 · **Price:** $6.69 (Sept. 1 close)

1. Decision and committee ask

Recommendation: Watch / defer — do not initiate a position at $6.69. Our FCFF/WACC valuation gives **$0.00–$3.82 per share** (base **$0.34**). The market price is above even the upside case. **Committee ask:** approve keeping JOBY on the watch list, take no position, and re-review at each quarterly filing against the triggers in Section 4. We would initiate only if (a) the FAA type certificate is issued **and** (b) the price is at or below 75% of our updated base value.

2. Valuation and strongest evidence

Case (linked statements → FCFF → WACC 12.73%)	Value/share	2030 revenue	First FCFF > 0	New equity needed	Action if this case is true
Downside: certification and paid launch delayed 2 years	$0.00 (model −$5.60)	$258M	none by 2040	$12.7B	Do not initiate
Base: paid service from 2027, 320 aircraft in average service by 2031	**$0.34**	$1,133M	2035	$5.0B	Watch / defer
Upside: +40% fleet, +10% utilization	$3.82	$1,656M	2033	$3.7B	Watch / defer

- **Bridge (base, USD M):** enterprise value −$1,151.7 + cash and short-term investments $2,263.8 − 2032 convertible notes $690.0 (the $14.19 conversion price is above our value, so we treat them as debt) − mortgage $30.8 − warrants $21.5 − Blade earnout $17.5 = **equity value $352.3**, divided by **1,051.26M diluted shares**. Source: Q2 2026 10-Q, balance sheet at June 30, 2026, and the cover page (989.1M shares on Aug. 3, 2026).
- **Why the value is low:** the PV of all FCFF from 2026 H2 to 2040 is about −$3.4B (burn through 2034 outweighs the positive 2035–40 flows); the terminal value is worth only +$2.3B in PV. Equity value is almost entirely today's cash.
- **What the price implies (reverse DCF):** holding everything else fixed, $6.69 requires **2.13×** our fleet in every year, about 680 aircraft in average service by 2031 and about $2.2B of revenue in 2030.
- **Facts vs. judgment:** the balance sheet, share count, convertible notes, H1 2026 results (revenue $62.9M, operating loss $494.5M), NOLs ($1.66B federal) and FY2026 revenue guidance ($115–125M) come from filings or management. The fleet ramp, utilization, $2,500 per flight hour and margins are our judgment (`data/joby_inputs_2026-09-01.json`).
- **Comparables:** Under our Sept. 1 peer policy, Archer is used and Eve is qualified, but both have negative GAAP EPS and immaterial revenue. P/E and EV/revenue are therefore not meaningful, and the reverse DCF serves as the market cross-check.

3. Material assumptions and sensitivities

Driver (one at a time)	Low input → value	High input → value	Swing
Fleet size, all years (×0.7 / ×1.3)	−$2.21	$2.50	$4.71
Steady-state gross margin (35% / 45%)	−$0.80	$1.47	$2.27
Beta (1.4 / 2.2)	$1.60	−$0.41	$2.01
Equity risk premium (6% / 4%)	−$0.35	$1.44	$1.79
Sales-to-capital (2.0 / 3.0)	$0.08	$0.50	$0.42
Terminal growth (2% / 4%)	$0.28	$0.40	$0.13

WACC × terminal growth grid: $1.99 at 10.7%/4% and −$0.47 at 14.7%/3%. **No cell reaches $6.69.** The two decisive drivers are commercial scale and the discount rate. Terminal growth hardly matters because EV is negative. Treat these as conditional outcomes, not probabilities.

4. Risks, failure conditions, and monitoring triggers

Trigger	Metric and threshold	Window	Effect
Certification	FAA type certificate issued (stage 5 complete)	Check each 10-Q/10-K	Necessary condition to initiate
Paid-service evidence	≥ 2 quarters of paid eVTOL passenger revenue with disclosed aircraft in service, utilization and revenue per flight hour	From first paid quarter	Replace judgment inputs; re-value
Valuation	Price ≤ 75% of updated base value	Continuous	Initiate (together with certification)
Delay	No type certificate by Dec. 31, 2027	Dec. 31, 2027	Downside case applies → **Do not initiate**
Liquidity	Cash and investments < 12 months of cash use without committed funding (today: $2.26B ≈ 22 months at the modeled FY2027 burn)	Each filing	**Do not initiate**
Fare economics	Disclosed revenue per flight hour below ~$2,390 (value reaches $0 at ×0.956 of the $2,500 base; locked test: $2,000 gives −$1.34)	First paid quarters	**Do not initiate**
Dilution / financing	New equity priced below our base value, or Toyota's $250M second tranche failing to close	Each financing	Lower the value; tighten the triggers

Principal risks: certification timing; manufacturing ramp and unit cost; utilization and fares that are not yet observable; about $5B of further equity funding needed in the base case; capital allocation (the $500M Resonant acquisition is treated as NPV-zero).

5. Action requested and next review

Approve **Watch / defer, no position**. The next review comes with the Q3 2026 10-Q, where we will update the bridge, cash use against the $385–415M H2 guidance, and certification status. AI-tool use and every material check are recorded in **Validation-and-AI-Use.pdf** (`docs/validation-and-ai-use.md`). The reproducible model and frozen output are in the `Joby-research` repository (`output/joby_valuation_report.md`).

Educational project, not investment advice.